Rising Oil Prices, Economic Uncertainty and M&A Decisions

Prepared by: Kummari Shashi Preetham

Purpose of the Report

This report answers the three questions in the weekly assignment. It explains why a company may acquire another business during an uncertain period, what due diligence means in mergers and acquisitions (M&A), and how to calculate the combined value of two companies before synergies and transaction costs. The discussion also connects the case to the Indian market situation described for 22 October 2026.

Executive summary

An acquisition can still make business sense during uncertainty when it supports a clear strategy, strengthens the supply chain, adds customers or capabilities, or creates cost savings that can be measured. However, uncertainty also makes forecasts less reliable and can raise financing and integration risks. Due diligence helps the buyer check the target company before committing. For the assignment calculation, Company A at ₹200 crore plus Company B at ₹80 crore gives a combined pre-synergy, pre-transaction-cost value of ₹280 crore, assuming both values are measured on a comparable basis.

Case Background: Why the Market Situation Matters

The assignment states that higher oil prices and economic uncertainty can increase companies' costs and affect acquisition decisions. This matters in India because crude oil is an important import, and a rise in the international price can increase the cost of fuel and other oil-linked inputs. Businesses may then face higher transport, manufacturing and distribution expenses. If companies pass these costs to customers, prices may rise; if they cannot pass them on, profit margins may fall.

The market movement on 22 October 2026 provides a real-world reference point. Reuters reported Brent crude at about US$112 per barrel that day. The Nifty 50 closed at 22,687.65, down 0.54%, and the Sensex closed at 73,249.39, down 0.62%. The report also noted that high crude prices increased inflation concerns, while other market factors were also in play. This does not mean oil prices alone caused every market decline. It shows why companies and investors may be more cautious when energy prices and the wider economic outlook are uncertain.

Question 1: Why Might a Company Acquire Another Company During an Uncertain Economic Period?

A company may acquire another business during an uncertain period because the deal can solve a long-term business problem or create an opportunity that is difficult to achieve through internal growth alone. The decision should depend on the target company, the purchase price and the buyer's ability to manage the risks, rather than on uncertainty by itself.

Main reasons for making an acquisition

1. Faster growth and market access. Building a new customer base, entering a new region or developing a new product can take years. An acquisition can provide access to customers, distribution channels or licences that the buyer does not already have.
2. Cost savings and economies of scale. When two businesses combine, they may be able to reduce duplicated administration, share warehouses, negotiate better supplier terms or use production capacity more efficiently. These savings are often called synergies. They must be estimated realistically because integration itself costs money.
3. Supply-chain security. If oil prices or other input costs are volatile, a company may want more control over sourcing, logistics, storage or distribution. Buying a business that improves supply reliability can reduce disruption, although it will not remove the effect of global oil prices completely.
4. Diversification of revenue. A company that depends heavily on one product, customer group or region may acquire a business with different sources of income. This can make total earnings less dependent on a single market. Diversification only helps when the new business is understood and financially sound.
5. Access to technology, people or specialised capabilities. A buyer may acquire a company to obtain software, technical knowledge, skilled employees, intellectual property or operational expertise that would take time to develop internally.
6. Opportunity to buy a suitable business at an acceptable price. Uncertain conditions may cause some sellers to reconsider their plans or make assets available. However, uncertainty does not automatically mean that a target is cheap. A low price may reflect weak cash flow, high debt or other problems that need to be checked.

Illustrative example

Consider a hypothetical transport company whose fuel and delivery costs are rising. It is considering buying a route-planning software company. If the software can reduce unnecessary kilometres, improve vehicle use and support faster deliveries, the acquisition may help the transport company manage costs. Before proceeding, the buyer should test whether the expected savings are realistic, whether the software works with its current systems, and whether the price is justified. This example is illustrative and does not refer to a specific real company.

Why the decision is harder during uncertainty

- Future revenue and costs are harder to forecast. A target that looks profitable under normal conditions may perform poorly if customers reduce spending or input prices remain high.
- Financing can become more expensive or less available. If a buyer uses too much borrowing, higher interest payments can weaken its financial position.
- The buyer may overestimate synergies. Expected savings should be reduced for one-time integration costs, employee changes, systems upgrades and possible disruption.
- A weak acquisition can distract management. The buyer still has to run its existing business while bringing the target into the group.

Practical view

Proceed only if the deal supports a clear strategy, the price is justified, funding remains manageable under downside conditions, and the buyer can integrate the target without weakening its existing business.

Question 2: What Is Due Diligence in Mergers and Acquisitions?

Due diligence is the detailed review a buyer carries out before completing an acquisition. The purpose is to understand what it is buying, verify the information provided by the seller, identify risks and confirm whether the proposed price and deal terms make sense. It helps the buyer avoid paying for earnings or assets that are overstated, or taking on liabilities that were not clear at the start.

Due diligence is not limited to checking the accounts. A target may show profits but still have overdue customer payments, tax disputes, weak contracts, outdated equipment, high staff turnover or dependence on one major customer. Each issue can affect the amount the buyer is willing to pay and the protections it requires in the transaction agreement.

Key areas of due diligence

Area	What the buyer checks and why it matters
Financial	Audited accounts, revenue quality, profit margins, cash flow, working capital, debt, contingent liabilities and the age of receivables. This helps establish the target's actual financial position and whether reported profit converts into cash.
Legal and regulatory	Ownership of shares and assets, major contracts, licences, litigation, guarantees, regulatory compliance and change-of-control clauses. These checks help identify obligations or restrictions that could affect the deal.
Tax	Tax returns, unpaid taxes, notices, assessments, disputed claims and the treatment of past transactions. Unresolved tax matters can create future cash outflows.
Commercial	Customer concentration, market position, competitors, supplier relationships, pricing power, order book and sales pipeline. The buyer needs to understand whether the target can sustain its revenues.

Area	What the buyer checks and why it matters
Operations and supply chain	Factories, equipment, capacity, inventory, quality controls, logistics, maintenance needs and key supplier dependencies. These points help identify operational weaknesses and possible integration savings.
People and management	Key employees, employment terms, retention risks, incentive plans, labour disputes and dependence on the founder or a small number of managers. A deal can lose value if important people leave.
Technology and data	IT systems, software ownership, cybersecurity, data privacy, system compatibility and future upgrade costs. These checks are important when the acquisition depends on technology or digital operations.

How due diligence is usually carried out

1. The buyer sets the purpose and scope of the review. It identifies the reasons for buying the target and the risks that could affect the deal.
2. The seller provides records, often through a secure data room. The buyer and its advisers review documents, accounts, contracts, tax information and operating data.
3. The review team asks questions and tests important claims. For example, it may verify whether reported sales have been collected in cash, whether major contracts are still active and whether debts or disputes have been fully disclosed.
4. The findings are translated into financial and legal decisions. A problem may lead to a lower price, a specific warranty or indemnity, a condition before closing, or a decision not to proceed.
5. If the acquisition goes ahead, the buyer uses the findings to prepare an integration plan, including systems, people, reporting and operating responsibilities.

Simple example of due diligence

Suppose a target company reports strong profits, but the buyer finds that a large part of its sales has not been collected from customers and that a tax dispute is pending. The buyer should not rely only on the reported profit. It should estimate how much cash may actually be collected, assess the possible tax exposure and consider the effect on the valuation. Depending on the size of the risks, it could renegotiate the price, ask for contractual protection, delay completion until a matter is resolved, or walk away.

Key point

Due diligence reduces information gaps, but it cannot remove every risk. It is only useful when the buyer investigates carefully, asks follow-up questions and changes its decision or deal terms when the findings require it.

Question 3: Combined Value of Company A and Company B

The assignment gives the following values: Company A is valued at ₹200 crore and Company B is valued at ₹80 crore. The question asks for their combined value before synergies and transaction costs.

Particulars	Value
Company A	**Rs. 200 crores**
Company B	**Rs. 80 crores**
Combined value before synergies and transaction costs	**Rs. 280 crores**

Calculation

Combined value = Value of Company A + Value of Company B
= ₹200 crore + ₹80 crore
= ₹280 crore

Therefore, the combined value is ₹280 crore before adding any expected synergies or subtracting transaction costs. Synergies are additional benefits that may arise from combining the businesses, such as cost savings or higher revenue. Transaction costs can include advisory fees, legal fees, valuation expenses, financing fees and other costs of completing the deal.

One important point is that the question does not specify whether the two valuations represent equity value or enterprise value. The simple addition above follows the assignment's wording and assumes that both numbers use the same valuation basis. In an actual transaction, the analyst must confirm the basis of each valuation and adjust for items such as debt, cash or other agreed adjustments where required.

Applying the Case to the Indian Market on 22 October 2026

The case highlights a practical issue for M&A teams: economic uncertainty affects both the target company's expected performance and the price a buyer should be willing to pay. Reuters reported that Brent crude reached about US$112 per barrel on 22 October 2026 and that Indian benchmark indices ended lower. The report linked the oil-price increase with inflation concerns and noted that profit-taking and other market developments could also have contributed to the share-market movement [1]. The New Indian Express reported the same Sensex and Nifty closing levels and highlighted concerns about higher input costs and India's dependence on imported oil.

For a company considering an acquisition, the practical effects may include:

- Higher operating costs: fuel, freight and oil-linked raw materials can become more expensive. This is especially relevant to transport, logistics and some manufacturing businesses.

- Pressure on customers: if households or business customers face higher costs, they may reduce spending or negotiate harder on prices.
- Pressure on margins: a company may not be able to pass every cost increase to customers immediately.
- Changes in financing and valuation: if inflation concerns affect interest-rate expectations or investor confidence, the cost of borrowing and the valuation investors apply to future earnings may change.
- Greater need to test assumptions: a buyer should check how the target performs if oil prices stay high, return to lower levels or move unpredictably.

The effect will not be the same for every company. A fuel-intensive business may face direct cost pressure, while an energy producer or a business that sells cost-saving technology may have a different exposure. The buyer should therefore study the target's actual cost structure, contracts, pricing power and ability to pass on higher costs instead of making a decision based only on the overall market mood.

Recommended Approach for a Company Considering an Acquisition

In this scenario, the sensible response is not to stop every acquisition, nor to buy another company simply because the market is uncertain. The buyer should use a disciplined process:

1. Confirm the strategic reason. Be clear about whether the target adds customers, technology, cost savings, supply security or another benefit that matters to the buyer.
2. Value the target using realistic forecasts. Review recent performance, expected cash flows, debt, working capital and the effect of higher input costs. Do not base the valuation only on an optimistic growth plan.
3. Run different scenarios. Prepare a base case, a case where oil prices remain high for longer, and a case where conditions improve. Compare the target's cash generation and the combined company's ability to meet its obligations in each case.
4. Complete financial, legal, tax, commercial and operational due diligence. Record the risks found and quantify the possible cost wherever practical.
5. Calculate synergies after considering implementation costs. A saving is not a true benefit if it requires very high spending, takes too long to achieve or causes the business to lose important customers or employees.
6. Keep the funding plan manageable. Check whether the company can pay for the deal while preserving enough cash for normal operations and unexpected costs.
7. Plan integration before closing. Decide who will lead the combined business, how systems and teams will work together, and how progress on the expected benefits will be measured.

Overall recommendation

Proceed only if the target fits the strategy, the valuation remains reasonable under a downside scenario, due diligence does not reveal unacceptable risks, and the buyer can fund and integrate the business without weakening its existing operations. If the numbers work only under optimistic assumptions, the buyer should renegotiate or reconsider the deal.

Conclusion

Rising oil prices and economic uncertainty can change a company's costs, cash flow, valuation and access to finance. An acquisition may still be useful if it offers a clear strategic benefit, but a buyer must be careful not to confuse a market opportunity with a good deal. Due diligence is the process that helps the buyer verify the target's financial and business position and identify issues before completing the transaction. For the numerical question, adding Company A's ₹200 crore value and Company B's ₹80 crore value gives ₹280 crore before synergies and transaction costs. In practice, the final deal value depends on the valuation basis, due-diligence findings, financing and the benefits that can reasonably be achieved after the companies combine.

References

[1] Reuters. "Indian shares extend losses as high oil prices heighten inflation worries." 22 October 2026.
https://www.reuters.com/world/india/indian-shares-seen-opening-lower-high-oil-prices-fuel-inflation-worries-2026-10-22/

[2] The New Indian Express. "Indian markets end lower as rising crude prices, weak Asian cues weigh." 22 October 2026.
https://www.newindianexpress.com/business/2026/Oct/22/indian-markets-end-lower-as-rising-crude-prices-weak-asian-cues-weigh